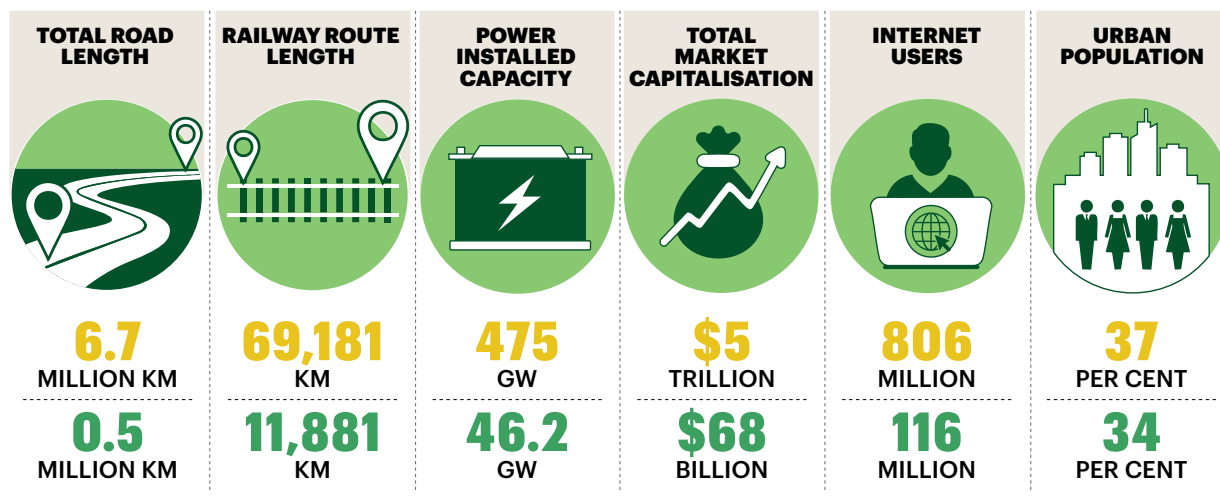


A SNAPSHOT

PAKISTAN LAGS INDIA ON ALL PARAMETERS



— INDIA — PAKISTAN

SOURCE NATIONAL TRANSPORT RESEARCH CENTRE, PAKISTAN; CMIE ECONOMIC OUTLOOK, NSE, CIA WORLD FACTBOOK, WORLDOMETER, BT RESEARCH

50 | REFORMS ON THE BACKSEAT?

The IMF's aid to Pakistan is tied to fiscal deliverables and reforms to improve its economic parameters and ensure financial independence. Key priorities as part of the EFF programme for Pakistan include macroeconomic sustainability through consistent implementation of sound macro policies. The Pakistan government in December 2024 launched an ambitious five-year economic transformation plan called Uraan Pakistan: Homegrown National Economic Plan. As part of this, Pakistan aims to achieve a sustainable GDP growth rate of 6% by 2028 and one million jobs annually along with \$10 billion of private investments every year. It would also introduce schemes that would help achieve \$60 billion in exports by the end of FY28, nearly double the \$30.64 billion in merchandise exports in FY24. As of now, its key exports include textiles and garments, agri goods like rice and cotton. The US and the UK are its major trade partners.

Poverty also remains a real challenge for Pakistan with an estimated at 25.6% people below the poverty line in FY25, according to the World Bank. With stagnant real wages and population growth of around 2%, another 1.9 million more individuals will be pushed into poverty, warned the World Bank's Pakistan Development Report released in April 2025. Only 2.5% of its total population pays income tax, highlighting the country's deeply imbalanced socio-economic structure. Direct taxes are es-

timated at just Pakistani Rs 5.5 trillion in FY25 in its total tax collection of Pakistani Rs 12.97 trillion for the fiscal. High unemployment of over 8% and an employment-to-population ratio of 49.7% reflect low labour market engagement, particularly among youth and women.

Concerned about the conflict with India, the IMF too has noted that "rising tensions between India and Pakistan, if sustained or deteriorate further, could heighten enterprise risks to the fiscal, external and reform goals of the program". It has also highlighted reputational risks that could come from any perceived lack of even handed or if there was a perceived misuse of Fund disbursements and has set 11 new conditionalities for the latest loan. These include Parliamentary approval for the Federal Budget in line with the IMF loan facility by June 2025, implementing the new agricultural income tax through a comprehensive plan and a higher debt servicing surcharge on electricity bills.

India found itself in a similar position in the past. In 1991, when the country embarked on reforms to open and liberalise the economy, it made a clear choice for growth and prosperity after it had to seek an emergency loan from the IMF by pledging a part of its gold reserve.

For Pakistan, fixing its economy and addressing the terror challenge would be critical in coming times. **BT**

@surabhi_prasad @iamrahuloberoi